

liquid-asset position, *e.g.*, satisfactory current earnings and dividends or a high average earning power in the past. The analyst will avoid issues that have been losing their current assets at a rapid rate and show no definite signs of ceasing to do so.

Examples: This latter point will be illustrated by the following comparison of two companies, the shares of which sold well below liquidating value early in 1933.

Item	Manhattan Shirt Company		Hupp Motor Car Corporation	
Price, January 1933	6		2 ¹ / ₂	
Total market value of Company	\$1,476,000		\$3,323,000	
Balance sheet	Nov. 30, 1932	Nov. 30, 1929	Dec. 31, 1932	Dec. 31, 1929
Preferred stock at par		\$ 300,000		
Number of shares of common	246,000	281,000	1,329,000	1,475,000
Cash assets	\$1,961,000	\$ 885,000	\$ 4,615,000	\$10,156,000
Receivables	771,000	2,621,000	226,000	1,246,000
Inventories	1,289,000	4,330,000	2,115,000	8,481,000
Total current assets	\$4,021,000	\$7,836,000	\$ 6,956,000	\$19,883,000
Current liabilities	100,000	2,574,000	1,181,000	2,541,000
Net current assets	\$3,921,000	\$5,262,000	\$ 5,775,000	\$17,342,000
Other tangible assets	1,124,000	2,066,000	9,757,000	17,870,000
Total assets for common (and preferred)	\$5,045,000	\$7,328,000	\$15,532,000	\$35,212,000
Cash-asset value per share	\$ 7.50	Nil	\$2.625	\$ 5.125
Current-asset value per share	16.00	\$17.50	4.375	11.75

Both of these companies disclose an interesting relationship of current assets to market price at the close of 1932. But a comparison with the balance-sheet situation of three years previously will yield much more satisfactory indications for Manhattan Shirt than for Hupp Motors. The latter concern had lost more than half of its cash assets and more than 60% of its net current assets during the depression period. On the other hand, the current-asset value of Manhattan Shirt common was reduced by only 10% during these difficult times, and furthermore, its cash-asset position was greatly improved. The latter result was obtained through